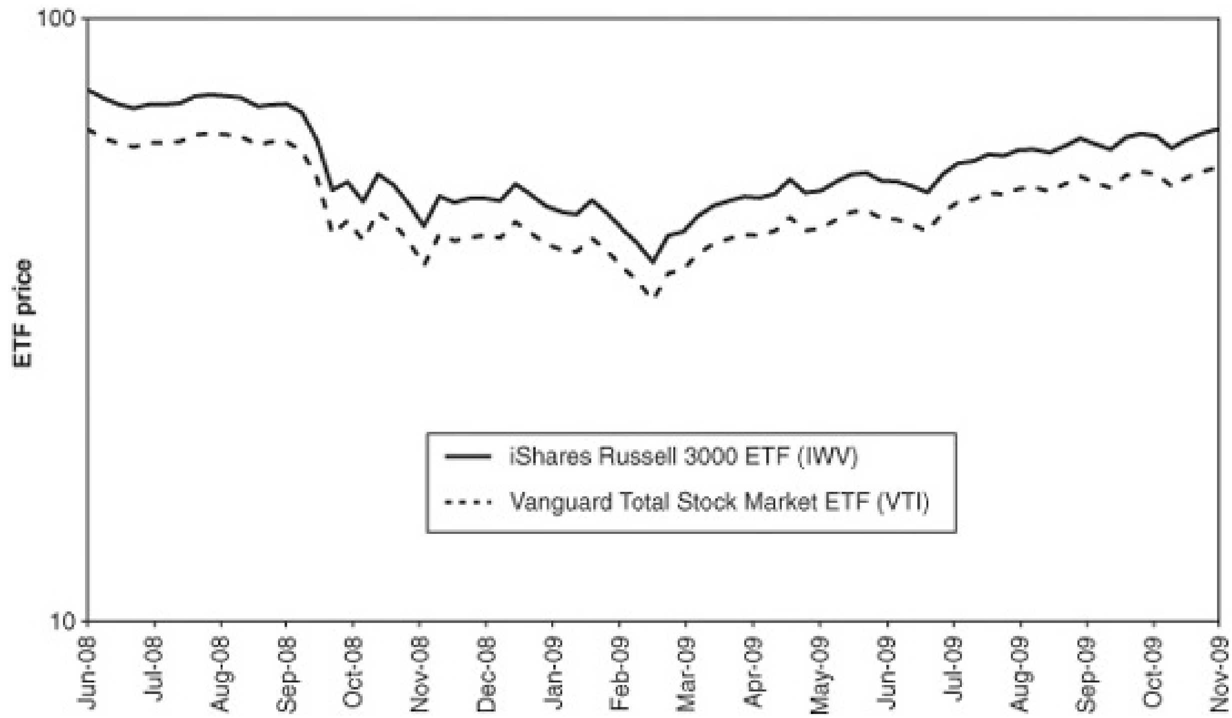


## ESTABLISH TAX LOTS BY DOLLAR COST AVERAGING

Most people buy mutual funds over time when they have excess capital. I recommend saving your taxable dollars and making regularly scheduled quarterly investments. This strategy is commonly known as dollar cost averaging. One reason dollar cost averaging makes sense is that it establishes different “tax lots” for your shares. Each quarter you buy shares at a different price, thereby establishing different tax positions. For example, instead of investing $1,000 one month, $500 the next, and $1,500 the next, invest $3,000 once per quarter on a regular basis. That makes tax swapping much easier.

Let’s look at an example to see how tax swapping works. Assume that you are buying $3,000 worth of VTI each quarter on the first day of the quarter. You bought two lots in January and April at $50 per share and a third lot in July at $60 per share. In July, the purchases would be those shown in Table 15-2.

**TABLE 15-2**
Purchases for January through July